

# AtlasGrid Systems

RECOMMENDATION

## REPRICE

The asking price does not compensate for definition quality, concentration, fully burdened margins, or leverage fragility. A restructured entry with the same debt quantum clears the declared return hurdles.

DECISION REQUESTED

**Authorize a counter at a \$210M fixed-value cap; retain the \$120M debt cap; make contingent value depend on verified live ARR, retention, and margin quality.**

The seller ask returns 17.6%, below the 22% hurdle. The selected structure reaches 23.3%.

|                                                                    |                                                                         |                                                                  |                                                                                   |
|--------------------------------------------------------------------|-------------------------------------------------------------------------|------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| <div>SELECTED RETURN</div> <div><b>23.3%</b></div> <div>2.8x</div> | <div>SELLER ASK</div> <div><b>17.6%</b></div> <div>Misses 22% IRR</div> | <div>NAMED DOWNSIDE</div> <div><b>6.2%</b></div> <div>1.3x</div> | <div>NORMALIZED EBITDA</div> <div><b>\$25.9M</b></div> <div>Seller: \$34.9M</div> |
|--------------------------------------------------------------------|-------------------------------------------------------------------------|------------------------------------------------------------------|-----------------------------------------------------------------------------------|

### Price discipline changes the answer

Gross IRR by deterministic case

Seller ask

17.6%

Selected

23.3%

Downside

6.2%

22% hurdle

### The underwriting reset

Management framing versus decision-grade definition

Retention

Active-only 105.5% → Complete cohort 99.9%

Concentration

Entity view 3.4% → Parent view 20.4%

Gross margin

Reported 80.5% → Fully burdened 72.8%

EBITDA

Seller \$34.9M → Normalized \$25.9M

## What must be true before advancement

**Validate cancellation rights**  
Deal counsel  
Reduce live-ARR credit or reprice if cancellation rights are broader than modeled.

**Reconcile parent concentration**  
Commercial diligence lead  
Re-underwrite concentration and price if master agreements reveal greater parent exposure.

**Support seller EBITDA add-backs**  
QoE lead  
Remove unsupported EBITDA and rerun leverage, covenants, maximum bid, and returns.

## Path to reconsideration

- Counter at a \$210M fixed-value cap
- Retain the \$120M debt cap
- Give no pricing upside credit

Synthetic causal estimates recover planted mechanisms only. Scenario outputs are not forecasts.

Human IC approval required. No capital action is authorized.

Underwriting Desk

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